

OCAD ONE COMPANY A DAY

SERIES: SOFTWARE

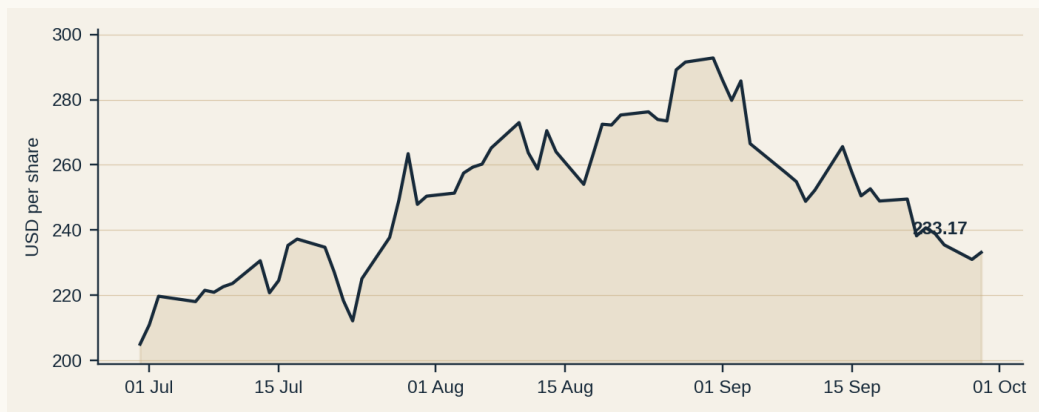
Adobe

Adobe Inc.

ADBE | NASDAQ | United States

USD 233.17

Latest close, Tuesday 29 September 2026 (+0.94% on the day)



ADBE daily closing price, USD, 30 June to 29 September 2026. Source: Alpha Vantage, daily time series.

REPORT DATE

30 September 2026

ANALYST

Arthur Faugeron

PUBLICATION

OCAD One Company A Day

Executive Summary

SOURCED AND REASONED Adobe is the dominant supplier of professional creative and document software, monetised almost entirely through subscriptions. At USD 233.17 the shares trade on 13.3 times trailing GAAP earnings and 8.8 times trailing free cash flow, roughly 36% below the 52-week high, after a sequence of AI competition concerns, an executive turnover and a rapid rise in share repurchase spending.

Business

Adobe sells Creative Cloud, Acrobat, Express, Firefly and enterprise Experience Cloud software, and 97% of revenue is subscription based (Sourced, Q3 FY2026 10-Q). Customers are individual creators, business professionals, consumers and marketing departments; FY2025 revenue split Americas 59%, EMEA 27%, APAC 14% (Sourced, FY2025 10-K summary).

Financial Condition

Trailing twelve months to Q3 FY2026: revenue USD 25.97bn (Q3 up 13% year on year), GAAP operating income USD 9.27bn (35.7% margin), GAAP net income USD 7.28bn, operating cash flow USD 10.81bn and free cash flow USD 10.59bn (40.8% margin). Debt USD 6.76bn against cash and short-term investments USD 5.64bn gives net debt of USD 1.12bn (Calculated).

Market Position

Competitors include Canva, Figma, Microsoft and a growing group of generative AI tools (Reasoned). The main advantage is workflow lock-in and file-format ownership across creative and PDF work; the main weakness is that AI tools lower the cost of producing content and may erode seat-based pricing.

Valuation

Market capitalisation USD 92.7bn and enterprise value USD 93.8bn (Calculated). Multiples: P/E 13.3x trailing GAAP, 9.5x FY2026 non-GAAP guidance midpoint, EV/EBITDA 9.5x, P/FCF 8.8x, EV/Sales 3.6x.

Investment Framework

- **What is attractive?** A 41% free cash flow margin, 89% gross margin, a net cash-like balance sheet and a valuation multiple near the lowest level implied by the trailing record.
- **What is concerning?** Operating expenses grew 15% against 13% revenue growth in the latest nine months, the CFO left in June 2026, the creative business head is leaving and a new CEO takes over on 1 December 2026, while the share price has fallen 20% in one month.
- **What must go right?** Subscription ARR growth of about 10% must persist while AI-first products (Firefly, Acrobat AI Assistant, GenStudio) show they add revenue rather than substitute for seats.
- **What could break the thesis?** Structural seat compression, price cuts forced by AI-native competitors, or a large acquisition that lowers returns on capital.
- **What appears priced in?** A reverse DCF at a 10.5% discount rate and 2.5% terminal growth implies free cash flow after stock compensation shrinking about 1.4% a year for five years (Reasoned).

Investment Profile

BUSINESS QUALITY	Very high: recurring revenue, 89% gross margin, entrenched products.
FINANCIAL QUALITY	Very high: cash conversion of 1.4 times net income, low capital intensity; caveat of USD 1.9bn annual stock compensation.
COMPETITIVE POSITION	Strong but contested, with moat quality under active test from AI.
GROWTH PROFILE	Solid double digit: 13% Q3 revenue growth, ARR growth of 11.2%.
BALANCE-SHEET RISK	Low leverage (net debt to EBITDA 0.1x); weak current ratio of 0.77 reflects deferred revenue.
VALUATION	Low on trailing cash metrics; discounts a meaningful loss of franchise value.
MARKET AND TECHNICAL PROFILE	Downtrend, high volatility (48.7% annualised over 100 sessions), price below 50-day and 200-day averages.

A. About the Business

A1. Business Environment

REASONED Adobe operates in application software for creation, document work and marketing execution. The value chain runs from creators and knowledge workers who produce content, through software and cloud services that enable production, to publishers, brands and platforms that distribute it. Value is captured mainly by the software layer that owns the workflow and the file formats, and increasingly by model providers whose generative systems produce the content itself.

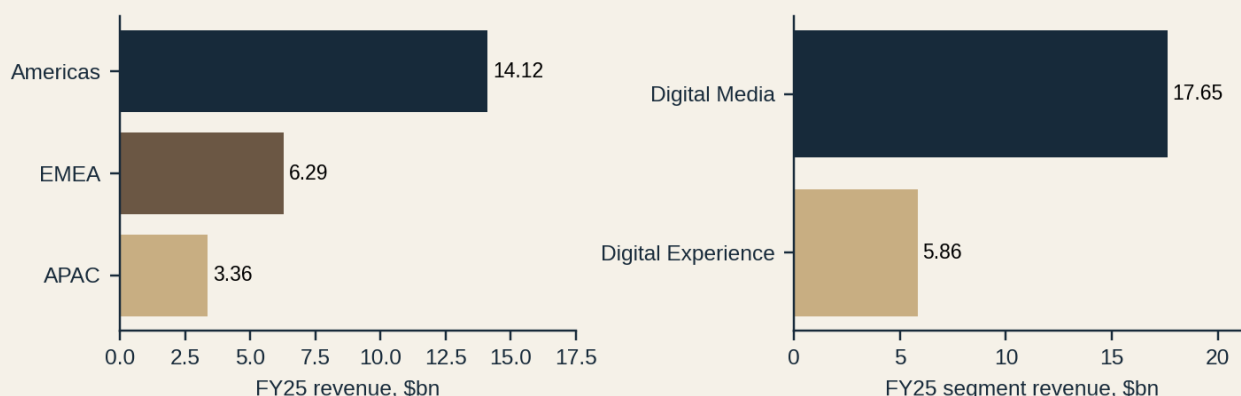
REASONED Revenue pools are subscription seats (individual, team, enterprise), enterprise platform contracts for customer experience, and usage-based charges for generative credits. Cost pools are research and development (USD 4.29bn in FY2025, 18.1% of revenue), sales and marketing, cloud hosting and, increasingly, model compute. Capital intensity is very low: capital expenditure was USD 179m in FY2025, 0.8% of revenue (Sourced, Alpha Vantage cash flow statement).

REASONED The industry is mature in core creative tools and structurally transforming as generative AI changes who can produce professional content. Cyclicity is modest because most revenue is contracted subscription, with exposure to marketing budgets in the Experience segment. Concentration is high in professional creative software and lower in collaborative design and marketing technology, where Canva, Figma and Microsoft are strong.

A2. What Does the Company Do?

SOURCED From fiscal 2026 Adobe reports two customer groups. **Creative and Marketing Professionals** includes Photoshop, Illustrator, Premiere Pro, After Effects and the marketing and experience platform products (nine-month subscription revenue USD 13.58bn, +13%). **Business Professionals and Consumers** includes Acrobat, Adobe Express and consumer applications (nine-month subscription revenue USD 5.54bn, +16%). Through fiscal 2025 the company reported Digital Media (USD 17.65bn, +11%, about 74% of revenue) and Digital Experience (USD 5.86bn, +9%, about 25%). The regrouping changes segment comparisons; the FY2025 figures above are on the old basis and are not comparable with the new customer groups.

Chart 1. FY2025 revenue by region and by reported segment



USD billion. Fiscal year ended 28 November 2025 (Adobe reporting basis; the data provider normalises the year end to 30 November). Source: Adobe FY2025 results and Form 10-K summary.

SOURCED Pricing is per user per month or per year across individual, business and enterprise plans, with generative AI credits layered on top. Total ARR was USD 27.50bn at Q3 FY2026, up 11.2%, and remaining performance obligations were USD 22.16bn with 67% due within twelve months. Deferred revenue was USD 7.20bn. The company reports more than 1

billion monthly active users across creativity and productivity products and AI-first ARR above USD 650m, growing above 150% (management claim, Sourced).

How a dollar of revenue moves through the company

1. CUSTOMER Creators, business users, consumers, enterprise marketers	2. PRODUCT Creative Cloud, Acrobat, Express, Firefly, Experience Cloud	3. REVENUE USD 1.00 of revenue, 97% subscription
4. COSTS About USD 0.11 cost of revenue; about USD 0.18 research and development; about USD 0.07 sales, general and administrative before other items (FY2025)	5. OPERATING PROFIT About USD 0.37 GAAP operating income (FY2025 36.6%)	6. CASH FLOW About USD 0.41 operating cash flow; capex below USD 0.01; free cash flow about USD 0.41 (FY2025)
7. CAPITAL ALLOCATION FY2025 repurchases of USD 11.28bn exceeded free cash flow of USD 9.85bn; acquisitions (Semrush USD 1.87bn, Topaz Labs about USD 340m pending); no dividend		

REASONED Note on the flow: research and development and sales and general administration together absorb about 25% of revenue and the residual gap to operating margin is sales and marketing, amortisation and other operating lines. The economically decisive segments are the creative subscription base, whose retention drives almost all cash flow, and the pace at which AI credits convert into paid usage.

A3. Business and Relationship Network

NETWORK MAP (SOURCED FOR NAMED ITEMS; OTHER ENTRIES REASONED)

Node	Relationship	Economic relevance
Adobe Inc. (parent)	San Jose, California; NASDAQ listed	Holds all products and subsidiaries
Creative and Marketing Professionals	Photoshop, Illustrator, Premiere Pro, After Effects, marketing platform	Largest revenue group, USD 13.58bn subscription revenue in nine months
Business Professionals and Consumers	Acrobat, Express, consumer apps	Fastest growth at 16%; feeds the AI Assistant strategy
Suppliers and infrastructure	Public cloud providers and third-party AI model access (Not Retrieved by name)	Compute costs drive cost of revenue, which grew 19% in nine months
Distribution	Direct web sales, app stores, resellers and enterprise agreements	Direct channel supports gross margin and customer data
Acquisitions	Semrush (closed 28 April 2026, USD 1.87bn); Topaz Labs (pending, about USD 340m)	Extends into search and generative engine optimisation and AI image enhancement
Competitors	Canva, Figma, Microsoft, AI generators, marketing suites	See A4

Node	Relationship	Economic relevance
Major shareholders	Institutions hold about 89% (data provider)	Insider ownership figure of 22.9% from the data provider is inconsistent with company filings and is treated as N/A

A4. Competition

REASONED Peers are chosen for direct competition for creator seats, enterprise marketing budgets or document workflows, not by index classification.

COMPETITIVE COMPARISON

Competitor	What it sells	Position versus Adobe
Figma	Collaborative interface design; AI design agent. Q2 2026 revenue USD 370.1m, +48%; non-GAAP operating margin 10%; net dollar retention 136% (Sourced)	Much smaller but growing four times faster; a share risk in product design and web workflows
Canva	Template-led design for non-professionals; private company, financials Not Retrieved	Competes for the low end and team seats where Express is positioned
Microsoft	Microsoft 365, Copilot, PDF handling and design features (Reasoned)	Bundling threat for documents and light creative work
Generative AI tools	Image, video and design generation from prompts (OpenAI, Midjourney, Runway and others; Reasoned)	Substitute for stock imagery and routine production; also potential partners
Enterprise marketing suites	Salesforce, HubSpot, Oracle (Reasoned)	Compete with Experience Cloud and GenStudio for marketing budgets

Only figures marked Sourced are taken from company releases; the remainder are qualitative judgements.

A5. Competitive Differences

REASONED Structural advantages: ownership of professional file formats and a deeply trained user base, which produces high switching costs; integrated distribution of Acrobat and Express; proprietary and licensed training data supporting Firefly with commercial-use indemnification; and scale in R&D funding (USD 4.29bn in FY2025). Temporary advantages: model quality, which competitors can match quickly. Structural disadvantages: dependence on seat-based pricing in a market where output per seat is rising, and a premium price point that invites low-cost alternatives.

REASONED Moat rating: Moderate to Strong. Evidence in favour: an 89% gross margin held for five years and operating margin rising from 32.9% (FY2020) to 36.6% (FY2025). Evidence against: the share price, which has moved to a valuation of about 9 times FY2026 non-GAAP EPS guidance, indicates investors question durability. The rating is lowered from the Strong category only because the AI effect on pricing power is unresolved.

A6. Industry Trend

REASONED Creative and document software is mature in core tools and structurally transforming in workflow. Demand drivers are content volume growth, remote and collaborative work and the entry of non-professional creators (creative freemium users up 70%, management claim). Supply is being reshaped by generative models that compress production cost. Pricing is drifting from pure seat pricing toward credits and usage. Structural trends: AI-assisted production, consolidation of

design tools, agentic software. Temporary conditions: higher interest rates that compress software multiples. The trend could reverse if AI tools prove complementary and expand paying users, or worsen if enterprise buyers cut seats.

A7. Management

KEY MANAGEMENT (SOURCED: YAHOO FINANCE REPORTING OF THE SUCCESSION AND Q3 FY2026 EARNINGS CALL)

Executive	Position	Notes
Shantanu Narayen	Chief Executive Officer; Executive Chair from 1 December 2026	29 years with Adobe and over 18 years as chief executive (Sourced). Presided over the subscription transition and margin expansion
Anil Chakravarthy	President and CEO from 1 December 2026	Announced 3 September 2026; prior career background Not Retrieved. Emphasises agentic software
David Wadhvani	Led creativity and productivity business (about five years)	Announced departure; had been viewed as a CEO candidate (Sourced)
Dan Durn	Chief Financial Officer until June 2026	Departure reported; successor Not Retrieved

REASONED Capital allocation. Share count fell from 485m (FY2020) to 427m (FY2025) and to 395m at Q3 FY2026, a decline of 18.6%. Repurchases of USD 11.28bn in FY2025 equalled 114% of free cash flow. In the nine months to Q3 FY2026 the company bought 26.1m shares for USD 6.82bn, an average price of about USD 261, roughly 12% above the current price, which reduces the return on that spending. A new USD 25bn programme runs to April 2030 with USD 24.55bn remaining (Sourced). Stock-based compensation of USD 1.94bn (8.2% of FY2025 revenue) offsets part of the dilution benefit.

REASONED Guidance record. FY2026 initial revenue target of USD 25.90 to 26.10bn and non-GAAP EPS of USD 23.30 to 23.50 were raised to USD 26.58 to 26.63bn and USD 24.45 to 24.50 by Q3, although the revenue increase is partly explained by the Semrush acquisition. The leadership turnover in a single quarter (CFO, creative head, CEO) is the key governance uncertainty. Insider ownership: N/A.

B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY AND CASH METRICS, PERCENT OF REVENUE (CALCULATED FROM REPORTED STATEMENTS)

Metric	FY2020	FY2022	FY2024	FY2025	TTM Q3 FY26
Gross margin	86.6%	87.7%	89.0%	89.3%	89.3%
GAAP operating margin	32.9%	34.6%	31.3%	36.6%	35.7%
EBITDA margin	39.2%	40.1%	37.0%	41.3%	38.2%
GAAP net margin	40.9%	27.0%	25.9%	30.0%	28.0%
Free cash flow margin	41.2%	42.0%	36.4%	41.4%	40.8%
Capex to revenue	3.3%	2.5%	1.1%	0.8%	0.8%

FY2020 net income includes a USD 1.08bn income tax benefit. TTM operating margin of 35.7% is the sum of four reported quarters; a data provider quotes 34.8% on a different window, and the reported-quarter sum is preferred. Fiscal years end late November.

GROWTH, RETURNS AND LEVERAGE

Growth and return metrics	Value	Comment
Revenue CAGR FY2020 to FY2025	13.1%	Reported basis; includes acquisitions
Revenue CAGR FY2022 to FY2025	10.5%	Slower than the five-year rate
GAAP operating income CAGR FY2020 to FY2025	15.5%	Operating leverage
EBITDA CAGR FY2020 to FY2025	14.2%	Derived from data provider EBITDA
Free cash flow CAGR FY2020 to FY2025	13.2%	FCF is operating cash flow less capex
Net income CAGR FY2021 to FY2025	10.3%	FY2021 base used to avoid the FY2020 tax benefit
ROE FY2025 (average equity)	55.4%	Inflated by buybacks reducing equity; a data provider quotes 61.9% on TTM
ROIC FY2025 (NOPAT over average invested capital)	56.0%	Invested capital = equity plus debt less cash; ROE and ROIC are different measures
ROA FY2025 (average assets)	23.9%	Asset base includes USD 12.9bn goodwill
Cash conversion FY2025 (FCF to net income)	1.38x	Earnings fully supported by cash
Net debt to EBITDA (Q3 FY26 debt and cash)	0.11x	Effectively unlevered
Interest coverage FY2025 (EBIT to interest expense)	34.2x	EBIT of USD 8.997bn over USD 263m interest

REASONED Adobe has no inventory, so inventory turnover is not meaningful. Receivables rose from USD 2.07bn to USD 2.34bn in FY2025 (+13.1%) against revenue growth of 10.5%, a modest divergence worth watching. Asset turnover is 0.80 times (FY2025 revenue over average assets).

B2. Risks

RISK RANKING BY PROBABILITY TIMES IMPACT (REASONED)

Risk	Category	Probability	Impact	Rank
AI substitution compresses pricing or seat counts	Competitive and technological	Medium to high	High	1
Leadership transition (CEO, CFO, creative head) disrupts execution	Business	Medium	High	2
Multiple compression persists as growth decelerates	Valuation	Medium	High	3
Large acquisitions dilute returns (goodwill already 47% of assets)	Financial	Medium	Medium	4
Rising cost of revenue from model compute (up 19% in nine months)	Business	High	Medium	5
Regulation of AI training data, copyright and antitrust	Regulatory	Medium	Medium	6
Currency (41% of revenue outside the Americas) and marketing spend cycles	Macro	Medium	Low to medium	7
Cybersecurity or model safety incident	Technological	Low	High	8

The three risks most capable of permanently impairing value are ranks 1, 2 and 4 in economic terms: AI substitution, execution disruption during leadership change and value-destroying acquisitions or buybacks at high prices.

B3. Valuation

CURRENT VALUATION, AS OF 29 SEPTEMBER 2026 CLOSE (CALCULATED)

Multiple	Value	Basis
Price to earnings (trailing GAAP)	13.3x	USD 233.17 over TTM diluted EPS USD 17.58
Price to earnings (FY2026 non-GAAP guidance)	9.5x	Midpoint USD 24.475; non-GAAP excludes stock compensation and amortisation
EV to EBITDA	9.5x	EV USD 93.8bn over TTM EBITDA USD 9.92bn
EV to sales	3.6x	TTM revenue USD 25.97bn
Price to sales	3.6x	Market capitalisation over TTM revenue
Price to free cash flow	8.8x	TTM FCF USD 10.59bn
EV to free cash flow	8.9x	Same basis
Price to FCF after stock compensation	10.7x	FY2025 stock compensation of USD 1.94bn deducted
PEG (data provider)	0.58	Not independently recalculated

Multiple	Value	Basis
Dividend yield	None	Adobe pays no dividend

Shares 397.5m. Enterprise value = market capitalisation + debt USD 6.76bn - cash and short-term investments USD 5.64bn. Fiscal quarter ended 28 August 2026.

REASONED Historical range. A full multiple history was not retrieved. As a proxy, the 52-week high of USD 363.70 corresponds to 20.7x trailing EPS and the 52-week low of USD 190.12 to 10.8x, so the current 13.3x sits in the lower part of the year range. Peer valuation: Figma multiples were not retrieved; qualitatively Figma trades on a far higher growth premium, so cross-sectional comparison on multiples alone would mislead.

REASONED Expectations. At a 10.5% discount rate and 2.5% terminal growth, the current price is reproduced by FCF after stock compensation declining by about 1.4% per year for five years. Management guides revenue growth near 12% for FY2026 and ARR growth of 10.2%. The market therefore appears to price a structural impairment of the franchise. Against management guidance, that expectation looks **conservative**; against a credible AI disruption scenario, it is **reasonable**. This is an assessment of embedded expectations, not a prediction of the share price.

B4. Capital Market and Stock Analysis

PRICE RETURNS TO 29 SEPTEMBER 2026 (CALCULATED FROM DAILY CLOSES; SESSIONS: 1, 5, 21, 63 AND 100 BACK)

Period	ADBE	S&P 500 proxy (SPY)	Relative
1 day	+0.9%	-0.2%	+1.1 pts
1 week	-2.1%	-1.2%	-0.9 pts
1 month	-20.0%	-0.7%	-19.3 pts
3 months	+13.7%	+2.3%	+11.4 pts
Since 7 May 2026	-9.1%	+4.5%	-13.6 pts
Year to date, 1 year, 3 years, 5 years	Not Retrieved	Not Retrieved	N/A

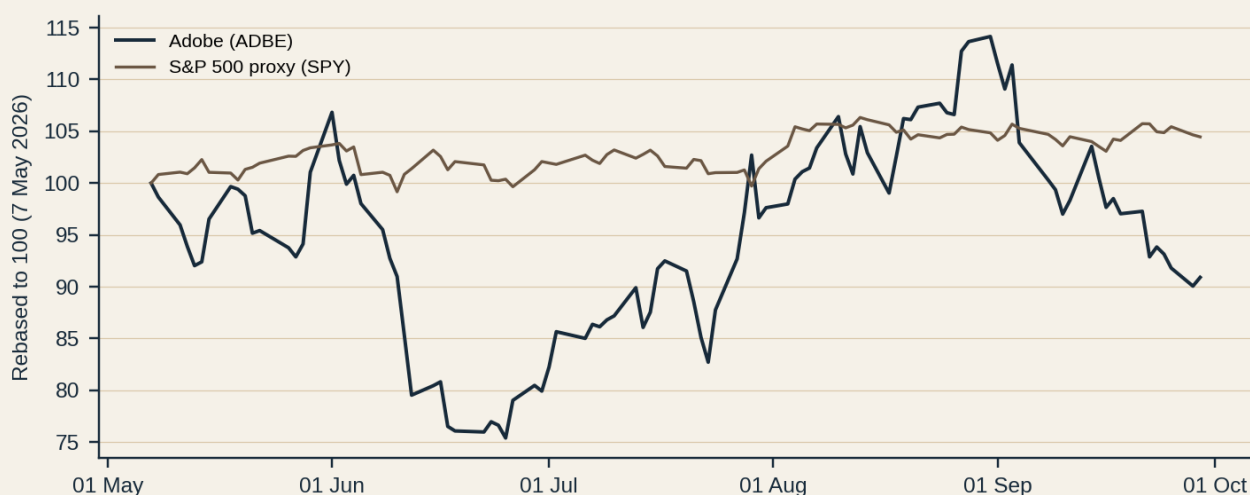
Price only, no dividends. The 100-session window starts 7 May 2026. The 52-week range is USD 190.12 to USD 363.70 (data provider); the close is 35.9% below the high and 22.6% above the low.

VOLATILITY AND TECHNICAL INDICATORS (CALCULATED UNLESS STATED)

Risk and technical measure	Value	Reading
Annualised volatility (100 sessions)	48.7%	SPY 12.5%; roughly four times the market
Downside volatility (annualised)	27.6%	Standard deviation of negative days only
Maximum drawdown in window	-29.4%	Peak 1 June 2026, trough 25 June 2026
Drawdown from window high (31 August, USD 292.79)	-20.4%	Sell-off after CEO succession and Q3 results period
Beta, long-run (data provider)	1.42	High sensitivity to market direction over longer horizons
Beta and correlation, 100-session window	-0.01 and -0.00	Window movement was almost entirely stock-specific

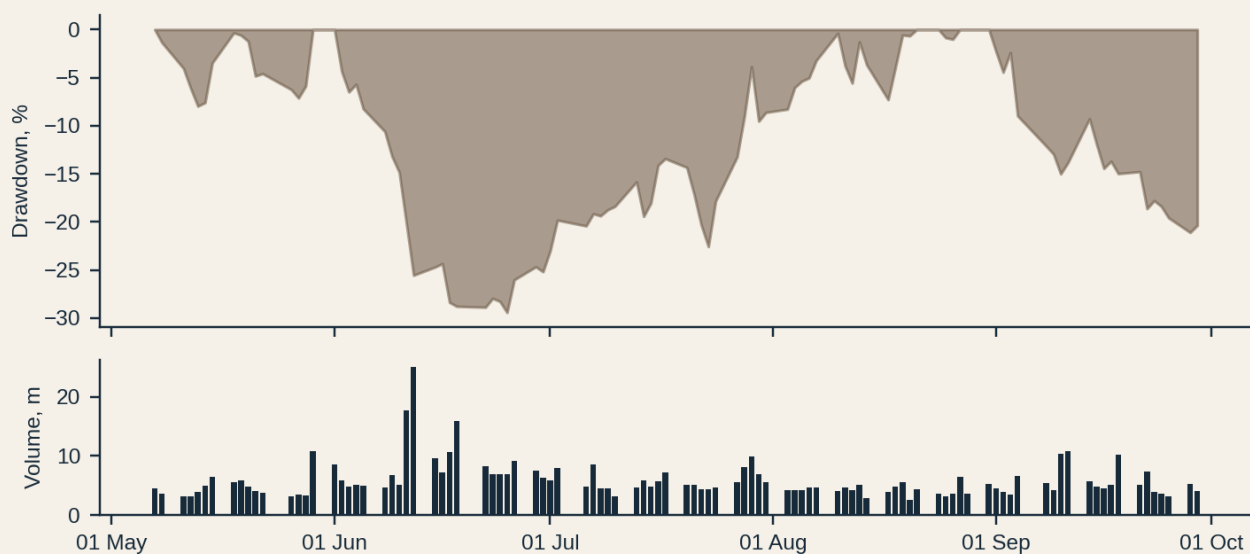
Risk and technical measure	Value	Reading
50-day average (calculated) and 200-day average	257.26 and 262.12	Price sits 9% below the 50-day and 11% below the 200-day (200-day from data provider)
RSI (14 sessions)	36.4	Weak, not yet below 30
MACD (12, 26, 9)	-7.94 versus signal -4.89	Negative and below its signal line
ATR (14 sessions)	USD 8.76 (3.8% of price)	Wide daily ranges
Average volume, 20 versus 100 sessions	5.61m versus 5.89m	No sign of capitulation volume in the recent period

Chart 2. Adobe against the S&P 500 proxy, rebased



Index 100 equals close on 7 May 2026. Source: Alpha Vantage daily time series (ADBE and SPY).

Chart 3. ADBE drawdown from running peak and daily volume



Percent from running high; volume in millions of shares. 7 May to 29 September 2026. Source: Alpha Vantage.

REASONED The technical structure is a downtrend with two waves of selling: a decline into 25 June (USD 193.41, near the 52-week low), a sharp rebound to USD 292.79 by 31 August, and a second decline of 20% since. Support is visible near USD 190 to 193; resistance near USD 250 to 258 where the 50-day average and the mid-September breakdown coincide. These readings describe price behaviour and are separate from fundamental value: valuation can stay low while the technical trend weakens.

C. Financial Statements

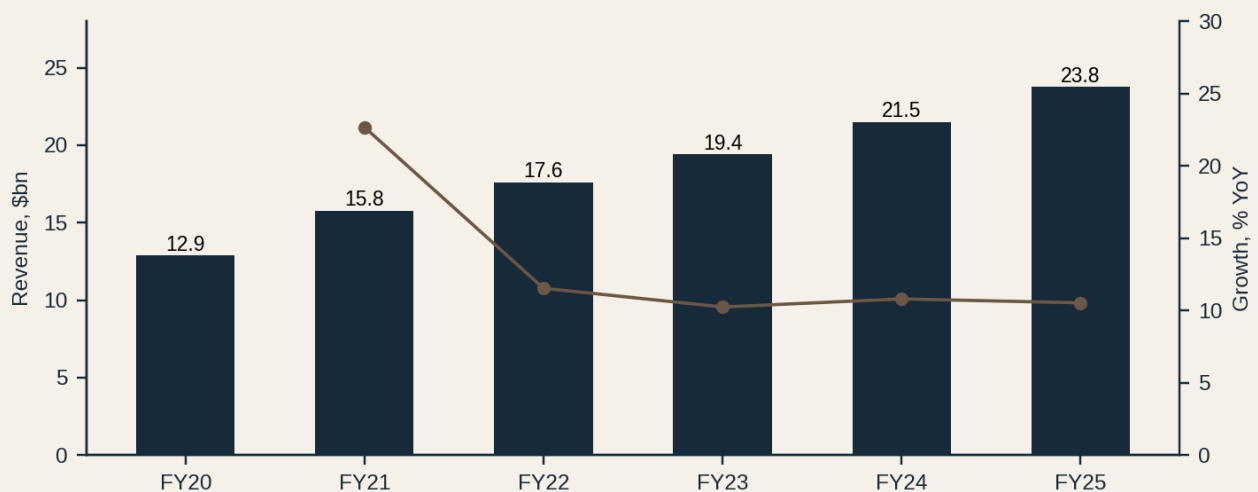
C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION (REPORTED; EBITDA AND GROWTH DERIVED)

USD million	FY20	FY21	FY22	FY23	FY24	FY25	TTM
Revenue	12,868	15,785	17,606	19,409	21,505	23,769	25,970
Revenue growth	N/A	22.7%	11.5%	10.2%	10.8%	10.5%	13.0% (Q3)
Gross profit	11,146	13,920	15,441	17,055	19,147	21,218	23,179
Research and development	2,188	2,540	2,987	3,473	3,944	4,294	N/A
SG&A	968	1,085	1,219	1,413	1,529	1,573	N/A
Operating income (GAAP)	4,237	5,802	6,098	6,650	6,741	8,706	9,271
EBITDA	5,049	6,675	7,055	7,784	7,957	9,815	9,917
Interest expense	116	113	112	113	164	263	N/A
Income tax	-1,084	883	1,252	1,371	1,371	1,604	N/A
Net income (GAAP)	5,260	4,822	4,756	5,428	5,560	7,130	7,284

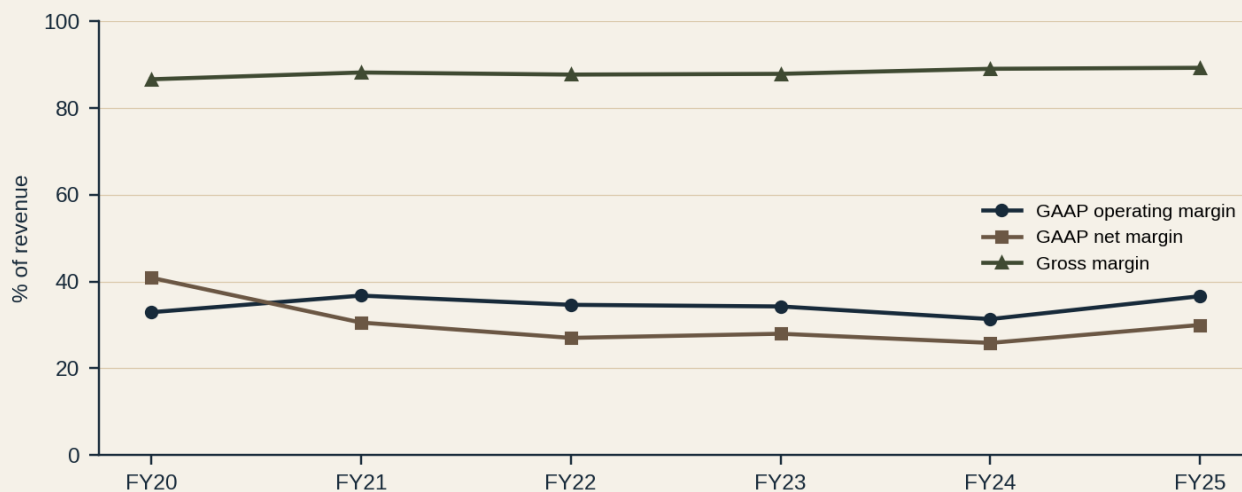
Source: Alpha Vantage financial statements mapped to SEC taxonomy; TTM is the sum of the four latest quarters. Sales and marketing is not a separate line in this data set.

Chart 4. Revenue and year on year growth



USD billion (bars) and percent (line). Fiscal years FY2020 to FY2025. Source: Alpha Vantage / company filings.

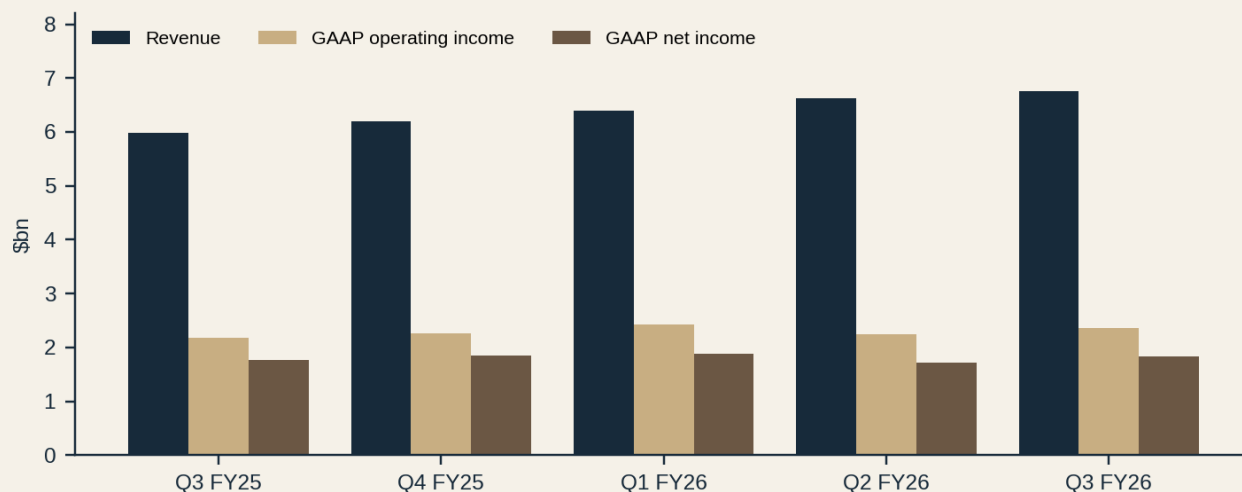
Chart 5. Gross, operating and net margin



Percent of revenue, GAAP. Fiscal years FY2020 to FY2025. Source: Calculated from reported statements.

REASONED Growth was 22.7% in FY2021 (pandemic-era demand and price), then 11.5%, 10.2%, 10.8% and 10.5%. Revenue growth is mostly volume plus mix of higher-priced plans, with Q3 FY2026 constant-currency growth of 12% against 13% reported, implying a small favourable currency effect, and acquired revenue from Semrush contributing since April 2026. GAAP operating margin dipped in FY2024 (31.3%) and rebounded to 36.6% in FY2025 as operating expense growth lagged revenue growth, a period of positive operating leverage. In the nine months to Q3 FY2026, operating expense growth of 15% and cost of revenue growth of 19% exceeded revenue growth of 13%, so leverage has turned negative, partly because of AI compute cost and the Semrush acquisition. Net income for Q3 FY2026 grew 3% (Sourced, 10-Q).

Chart 6. Latest five quarters



USD billion. Quarters ended August 2025 to August 2026. Source: Alpha Vantage quarterly statements.

GAAP to non-GAAP reconciliation

REPORTED BY THE COMPANY (SOURCED)

FY2025, USD	GAAP	Non-GAAP	Difference
Operating income	8.71bn	10.99bn	2.28bn

FY2025, USD	GAAP	Non-GAAP	Difference
Net income	7.13bn	8.94bn	1.81bn
Diluted EPS	16.70	20.94	4.24

The adjustments are mainly stock-based compensation and acquisition amortisation. Stock compensation is a real cost to shareholders, so GAAP figures are used as the primary basis in this report.

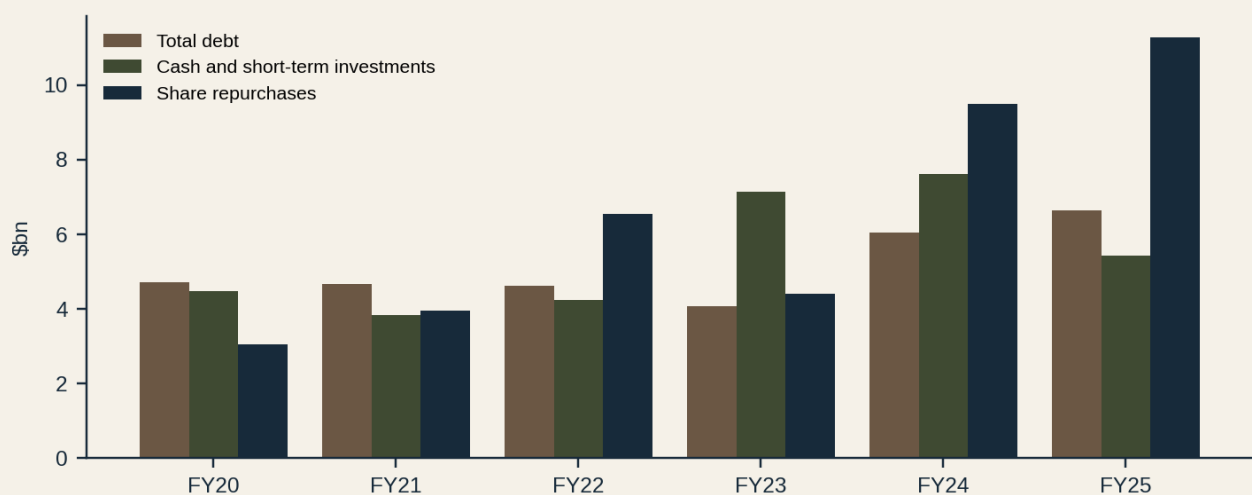
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION (REPORTED; RATIOS CALCULATED)

USD million	FY20	FY21	FY22	FY23	FY24	FY25	Q3 FY26
Cash and short-term investments	4,478	3,844	4,236	7,141	7,613	5,431	5,639
Receivables	1,398	1,878	2,065	2,224	2,072	2,344	2,081
Total current assets	8,146	8,669	8,996	11,084	11,232	10,163	9,158
Goodwill	10,742	12,668	12,787	12,805	12,788	12,857	14,037
Total assets	24,284	27,241	27,165	29,779	30,230	29,496	29,981
Total current liabilities	5,512	6,932	8,128	8,251	10,521	10,200	11,888
Total debt including leases	4,708	4,673	4,633	4,080	6,056	6,648	6,762
Shareholders equity	13,264	14,797	14,051	16,518	14,105	11,623	11,764
Net debt (cash)	230	829	397	-3,061	-1,557	1,217	1,123
Current ratio	1.48	1.25	1.11	1.34	1.07	1.00	0.77
Shares outstanding, m	485	481	471	459	450	427	395

Fiscal year ends late November; the data provider labels it 30 November. Q3 FY2026 is the quarter ended 28 August 2026. Deferred revenue was USD 7.20bn at Q3.

Chart 7. Debt, cash and share repurchases



USD billion, fiscal years FY2020 to FY2025. Source: Alpha Vantage balance and cash flow statements.

REASONED Adobe is financially conservative on a net basis: net debt of USD 1.1bn at Q3 FY2026 compares with USD 9.9bn EBITDA. The weak points are structural rather than leverage related. First, the current ratio has fallen from 1.48 (FY2020) to 0.77 because deferred revenue (customers prepaying) and rising short-term debt sit in current liabilities; this is acceptable for a business with recurring prepayments. Second, goodwill of USD 14.0bn is 47% of assets and 119% of equity, so tangible book value is negative, and the Semrush deal added USD 1.25bn goodwill. Third, buybacks have reduced equity from USD 16.5bn (FY2023) to USD 11.8bn. Off-balance-sheet obligations were not itemised in the retrieved data. Total debt rose from USD 4.1bn to USD 6.8bn since FY2023, mostly to help fund repurchases.

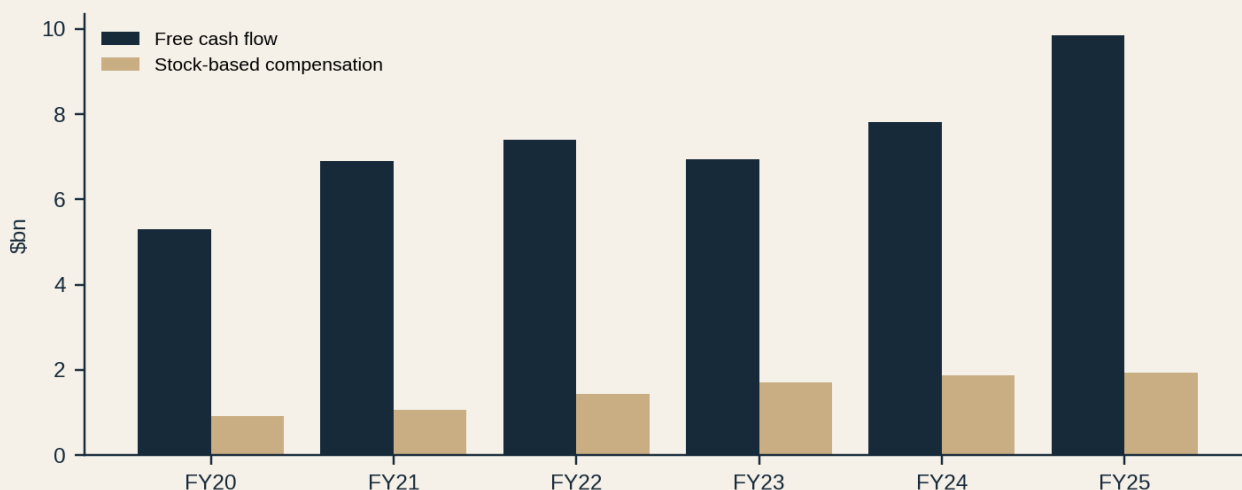
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION (REPORTED; FCF DERIVED AS OPERATING CASH FLOW LESS CAPEX)

USD million	FY20	FY21	FY22	FY23	FY24	FY25	TTM
Operating cash flow	5,727	7,230	7,838	7,302	8,056	10,031	10,806
Capital expenditure	419	330	442	360	232	179	214
Free cash flow	5,308	6,900	7,396	6,942	7,824	9,852	10,592
FCF margin	41.2%	43.7%	42.0%	35.8%	36.4%	41.4%	40.8%
FCF to net income	1.01x	1.43x	1.56x	1.28x	1.41x	1.38x	1.45x
Stock-based compensation	909	1,069	1,440	1,718	1,881	1,942	N/A
Share repurchases	3,050	3,950	6,550	4,400	9,500	11,281	N/A (9 months: 6,820)
Dividends	None	None	None	None	None	None	None

Investing cash flow FY2025: outflow of USD 1.19bn. Financing cash flow FY2025: outflow of USD 11.06bn. Nine-month operating cash flow to Q3 FY2026 was USD 7.65bn, up 11% (Sourced).

Chart 8. Free cash flow and stock-based compensation



USD billion, FY2020 to FY2025. Source: Alpha Vantage cash flow statements; free cash flow is Calculated.

REASONED Free cash flow has exceeded net income every year since FY2021, at 1.38 times in FY2025, because non-cash charges (amortisation USD 0.8bn, stock compensation USD 1.9bn) and rising deferred revenue exceed capital needs. That gap is partly a function of accounting: stock compensation is added back in operating cash flow, but it is paid to employees

in shares that must be bought back with cash. Net of stock compensation, FY2025 free cash flow is roughly USD 7.9bn, which reduces the FCF margin from 41.4% to about 33%. FY2025 repurchases of USD 11.28bn exceeded free cash flow, funded by cash reserves (cash fell from USD 7.6bn to USD 5.4bn) and debt.

C4. Forecasting and Projections

REASONED Management guides FY2026 revenue to USD 26.58 to 26.63bn (about 11.8% growth on FY2025 revenue of USD 23.77bn), with Semrush contributing from April. Beyond FY2026 the scenarios below are the analyst's assumptions, not management guidance. Growth drivers are seat growth, average revenue per user through AI credits and plan mix, and enterprise expansion. Gross margin faces pressure from compute cost; operating leverage depends on limiting operating expense growth to below revenue growth. Capital expenditure is expected to remain below 1% of revenue; working capital is a source of cash through deferred revenue.

SCENARIO ASSUMPTIONS ON FY2026 GUIDANCE MIDPOINT OF USD 26.6BN (REASONED)

Scenario (Estimates)	Revenue growth FY2027 to FY2030	FY2030 revenue	GAAP operating margin	FCF after SBC growth (DCF)
Bear	4%, 2%, 0%, -1%	USD 27.9bn	31%	2%, 0%, -2%, -3%, -3%
Base	9%, 8%, 7%, 6%	USD 35.5bn	36%	8%, 8%, 7%, 6%, 5%
Bull	13%, 13%, 12%, 11%	USD 42.2bn	39%	12%, 12%, 11%, 10%, 9%

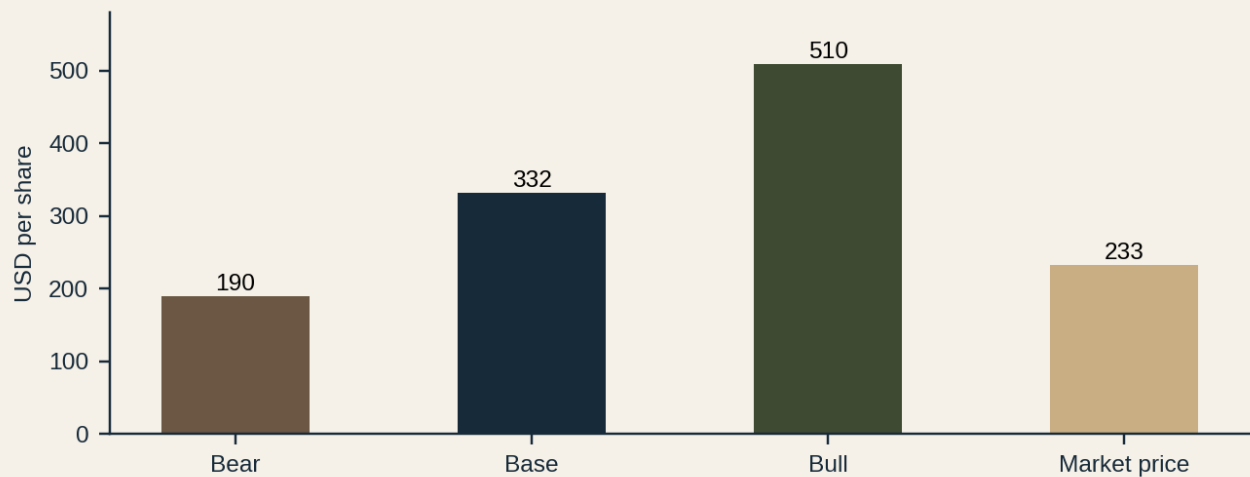
C5. Discounted Cash Flow (DCF) Model

REASONED The DCF values free cash flow after stock-based compensation (FCF less FY2025 stock compensation of USD 1.94bn). Starting cash flow: USD 10.59bn less USD 1.94bn = USD 8.65bn. Explicit period: five years. Tax: the FY2025 effective rate of 18.4% is embedded in reported cash flow. Capital expenditure below 1% of revenue and working capital as a small source of cash are embedded in the free cash flow trend. Net debt USD 1.12bn and 397.5m shares are used to convert enterprise value to a per-share range. Terminal value represents about 70% of base enterprise value.

DCF RESULTS, USD (ESTIMATES; A RANGE, NOT A POINT VALUE)

Case	WACC	Terminal growth	Enterprise value, USD bn	Value per share, USD
Bear	11.5%	1.0%	76.8	190
Base	10.5%	2.5%	133.1	332
Bull	9.5%	3.5%	203.7	510
Market price			93.8 (EV)	233

WACC assumptions: cost of equity about 11.3% (risk-free about 4.25% assumed plus beta 1.42 times equity risk premium 5.0%); debt weight is below 8% so WACC is set at 10.5% for the base case. These inputs are assumptions rather than sourced data.

Chart 9. DCF value range against the market price

USD per share. Analyst scenarios as of 30 September 2026. Source: Calculated by the analyst.

VALUE PER SHARE, USD, VERSUS WACC AND TERMINAL GROWTH

Sensitivity: base growth path	Terminal growth 1.5%	2.5%	3.5%
WACC 9.5%	343	381	431
WACC 10.5%	304	332	368
WACC 11.5%	272	294	321

VALUE PER SHARE, USD, VERSUS GROWTH AND WACC (TERMINAL GROWTH 2.5%)

Sensitivity: constant 5-year FCF growth	WACC 9.5%	10.5%	11.5%
0%	283	248	220
4%	337	294	261
8%	399	347	307
12%	470	409	361

REASONED The DCF suggests a wide range of USD 190 to USD 510 per share, and the current USD 233 sits close to the bear case. The range is dominated by terminal assumptions and by whether free cash flow grows or shrinks, which is exactly the AI debate. No single point value should be treated as intrinsic value.

C6. Leveraged Buyout (LBO) Model

REASONED Not applicable. At an enterprise value of about USD 94bn, a leveraged buyout would require the largest financing in history. Debt of 5 to 6 times EBITDA (about USD 50 to 60bn) would fund only a portion of a takeout price that would also carry a control premium, leaving an equity cheque of more than USD 40bn. The analysis is therefore omitted.

D. Investment Thesis

Bull Case

REASONED Revenue growth re-accelerates to 12 to 13% as AI-first ARR (above USD 650m, growing over 150%) proves additive and the 1 billion user base converts into paid plans. Operating margin expands to about 39% as the new CEO holds operating expense growth below revenue growth. Buybacks at prices below USD 260 raise per-share value faster than in the past. The valuation multiple recovers toward the 16 to 20 times earnings range seen earlier in the 52-week window. The bull DCF is USD 510 per share.

Bear Case

REASONED Generative tools reduce professional seat counts and force lower prices, growth falls to low single digits and margins compress to about 31% as compute cost and marketing spending rise. The leadership transition causes execution errors. The company continues to finance buybacks with debt, and acquisition goodwill is impaired. Valuation falls toward 8 to 10 times earnings. The bear DCF is USD 190 per share, 19% below the current price.

Base Case

REASONED Revenue grows 11 to 12% in FY2026 on guidance, then slows gradually to 6% by FY2030. GAAP operating margin holds at 35 to 36%. Free cash flow after stock compensation grows 5 to 8%. Repurchases continue at USD 8 to 10bn a year. The base DCF is USD 332 per share, which relies on the franchise stabilising rather than accelerating.

Catalysts

- Q4 and full-year FY2026 results (expected December 2026) and FY2027 guidance.
- CEO handover on 1 December 2026 and any new CFO appointment.
- Completion and integration of Topaz Labs (expected Q4 2026) and Semrush.
- Evidence of AI monetisation: Firefly ARR (up 40% sequentially in Q3), Acrobat AI Assistant usage.
- Share repurchases under the USD 25bn programme.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Total ARR growth (10.2% guided, 11.2% at Q3)	Best measure of subscription momentum	Above 11%	Below 9%
GAAP operating margin (35.7% TTM)	Tests operating leverage against AI cost	Above 36%	Below 33%
Cost of revenue growth (19% in nine months)	Shows AI compute burden	Below revenue growth	Continued acceleration

Metric or event	Why it matters	Positive	Negative
AI-first ARR (above USD 650m)	Proves AI adds revenue	Above USD 1bn within a year	Flat or cannibalising seats
Executive appointments	Reduces succession risk	Credible CFO named	Further departures
Repurchase price versus intrinsic range	Capital allocation quality	Buying below USD 250	Debt-funded buying above USD 270
Competitor growth (Figma +48%)	Share shift	Adobe design products growing	Loss of paid seats

E. Final Investment Framework

BUSINESS QUALITY	Excellent. Subscription revenue of 97%, 89% gross margin and a very low capital requirement.
FINANCIAL QUALITY	Excellent on cash generation (FCF margin above 40%), tempered by USD 1.9bn annual stock compensation and negative tangible book value.
COMPETITIVE POSITION	Strong but contested. Moat Moderate to Strong; the AI effect on pricing power is unresolved.
MANAGEMENT	Proven record of margin expansion and disciplined buybacks under the outgoing CEO; uncertainty from the CEO, CFO and creative-head turnover in one year.
INDUSTRY	Mature core and structurally transforming edges; growth in AI-native tools is faster than in Adobe.
VALUATION	13.3 times trailing earnings and 8.8 times trailing free cash flow, a range of USD 190 to 510 in DCF scenarios; the market price is close to the bear case.
TECHNICAL AND MARKET STRUCTURE	Downtrend below both major averages, 48.7% annualised volatility, support near USD 190 to 193.
PRINCIPAL RISK	AI substitution that forces lower prices or fewer seats.
PRINCIPAL CATALYST	Evidence at the December 2026 results that AI products add net new revenue and that margins hold under the new CEO.
KEY VARIABLE	Growth in total ARR (11.2% at Q3 FY2026) and its conversion to free cash flow.
THESIS INVALIDATION	The investment thesis would become materially weaker if total ARR growth falls below 8% for two consecutive quarters, if GAAP operating margin falls below 33% without a growth offset, or if net debt exceeds 1.0 times EBITDA to fund buybacks.

F. Data Table

COMPANY SNAPSHOT AS OF 29 SEPTEMBER 2026

Category	Metric	Current	Prior year	5Y trend
Market	Market capitalisation	USD 92.7bn	N/A	Not Retrieved
Market	Enterprise value	USD 93.8bn	N/A	Not Retrieved
Market	Share price	USD 233.17	N/A	Down 35.9% from 52-week high
Growth	Revenue growth	13.0% (Q3 FY26)	10.5% (FY25)	CAGR 13.1% (FY20 to FY25)
Profitability	Gross margin	89.3%	89.0% (FY24)	Stable, 86.6% to 89.3%
Profitability	Operating margin (GAAP)	35.7% (TTM)	31.3% (FY24)	32.9% (FY20) to 36.6% (FY25)
Profitability	Net margin (GAAP)	28.0% (TTM)	25.9% (FY24)	Rising
Profitability	ROE	55.4% (FY25)	N/A	Buyback-inflated
Profitability	ROIC	56.0% (FY25)	N/A	High and stable
Cash Flow	Operating cash flow	USD 10.81bn (TTM)	USD 8.06bn (FY24)	CAGR 11.9% (FY20 to FY25)
Cash Flow	Free cash flow	USD 10.59bn (TTM)	USD 7.82bn (FY24)	CAGR 13.2% (FY20 to FY25)
Leverage	Net debt / EBITDA	0.11x	N/A	Near zero
Valuation	P/E (trailing GAAP)	13.3x	N/A	Not Retrieved
Valuation	EV/EBITDA	9.5x	N/A	Not Retrieved
Valuation	P/FCF	8.8x	N/A	Not Retrieved
Market	Beta	1.42 (provider)	N/A	N/A
Market	Volatility	48.7% (100 sessions)	N/A	N/A
Market	Maximum drawdown	-29.4% (100 sessions)	N/A	N/A

Prior-year values are the fiscal 2024 reported figures where shown; market history of more than 100 sessions was not retrieved.

G. Sources and Methodology

Primary Sources

Adobe Inc., Adobe Reports Record Q3 Results (fiscal 2026). 10 September 2026. <https://news.adobe.com/news/2026/09/adobe-q3fy26-financial-results>

Information obtained: Q3 FY2026 results release

Adobe Inc. via US Securities and Exchange Commission, Adobe Reports Record Q4 and FY2025 Revenue (Exhibit 99.1). December 2025. <https://www.sec.gov/Archives/edgar/data/796343/000079634325000135/adbeex991q425.htm>

Information obtained: FY2025 segment revenue, ARR, RPO, GAAP to non-GAAP reconciliation, FY2026 initial targets

Adobe Inc. via StockTitan, Adobe Q3 FY2026 earnings release. September 2026. <https://www.stocktitan.net/news/ADBE/adobe-reports-record-q3-eqfptdv2yclp.html>

Information obtained: Q3 revenue, ARR, EPS, guidance and leadership transition

Adobe Inc. via StockTitan, Form 10-Q for the quarter ended August 2026. September 2026. <https://www.stocktitan.net/sec-filings/ADBE/10-q-adobe-inc-quarterly-earnings-report-3c2eea280406.html>

Information obtained: Segment definitions, nine-month segment revenue, regional revenue, buyback authorisation, Semrush and Topaz Labs

Adobe Inc., Investor relations homepage. Accessed 30 September 2026. <https://www.adobe.com/investor-relations.html>

Information obtained: Company filings reference

MarketScreener, Adobe annual report for fiscal year ending 28 November 2025 (Form 10-K summary). January 2026. <https://www.marketscreener.com/news/adobe-annual-report-for-fiscal-year-ending-11-28-2025-form-10-k-ce7e58dedb89ff20>

Information obtained: Segment share of revenue and FY2025 regional revenue

Figma, Inc., Figma Announces Second Quarter 2026 Financial Results. 5 August 2026. <https://investor.figma.com/news-events/news/news-details/2026/Figma-Announces-Second-Quarter-2026-Financial-Results/default.aspx>

Information obtained: Competitor revenue, growth, margin and net dollar retention

Secondary Sources

Yahoo Finance, Adobe Q3 Earnings Call Highlights. September 2026. <https://finance.yahoo.com/markets/stocks/articles/adobe-q3-earnings-call-highlights-230309401.html>

Information obtained: AI-first ARR, Firefly, Acrobat AI Assistant, Topaz Labs, CEO comments

Yahoo Finance, Adobe Shares Fall After CEO Succession and Executive Departure. September 2026. <https://finance.yahoo.com/markets/stocks/articles/adobe-shares-fall-ceo-succession-094434793.html>

Information obtained: CEO succession, executive departures, analyst reactions

Market Data

Alpha Vantage, Daily time series (ADBE, SPY), company overview and financial statements. Data to 29 September 2026. <https://www.alphavantage.co/documentation/>

Information obtained: Prices, volume, beta, 52-week range, 200-day average, historical income statement, balance sheet, cash flow

Calculations and Methodology

CALCULATED Free cash flow (operating cash flow less capital expenditure), TTM totals (sum of four latest quarters), market capitalisation (price times 397.5m shares), enterprise value (market capitalisation plus debt less cash and short-term investments), margins, CAGRs, ROE, ROIC, returns, annualised volatility (daily standard deviation times the square root of 252), drawdown, beta and correlation against SPY over the same 100 sessions, RSI, MACD, ATR and the 50-day average were calculated by the analyst from the sourced data. The DCF, WACC inputs and scenarios are analyst assumptions. Cross-source checks: data provider market capitalisation agreed with price times shares; the provider operating margin (34.8%) differs from the reported-quarter sum (35.7%) and the latter is preferred; the provider insider ownership figure (22.9%) is inconsistent with company filings and is not used. Fiscal year ends late November (28 November 2025 for FY2025); the data provider normalises to 30 November.

Disclaimer. This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.